

the entire scheme of things, we play an important part. If you look at the companies who have tried to open source products but did not succeed in their attempts -- we had a different strategy as compared to them. It's not just about taking some software, publishing the source code and putting a licence on top of it. We have mastered the act over 15-20 years. We felt that it was important for us to get the community together and access the larger developer base, which would fuel the innovation further.

I think we have understood our role in the community well, over a period of time. I think customers recognise us as a reliable brand when it comes to the delivery of open source solutions and technologies. They equate us with value. So, if you look at the CIO surveys that happen every year, in the last five years, we have consistently been ranked amongst the top two players. The brand association has gone beyond Linux to a much wider horizon of open source as a technology, not restricted any more to a development model. At the end of the day, it is what is now seen as a means to an end and that end is customer choice and value. So the brand obviously has expanded. The recognition has now moved towards the brand's value and I think this is manifesting itself every year in such independent surveys.

Q Yes, but you have increasing competition coming in. Microsoft has also entered the world of open source technology and, quite clearly, this is a challenge for vendors in this space. And then there is the Attachmate group emerging as a strong body with its recent acquisitions of Novell and SUSE. How does this impact your business?

I have said this before on various platforms and I would like to reiterate the same thing here. When you think about value, cost is only a part of the value equation. So, when customers choose to do business with a vendor, they choose to do business based on a whole range of priorities. I think what is very interesting in the CIO survey that I just mentioned, is that the CIOs were asked 'Who are the vendors that you are most likely to go and do business with?' and we have consistently been ranked one of the top two positions in this aspect as well, for over five years. So, in an era of cut-throat competition, the fact that we have been consistently rated highly by the customers, speaks volumes about our hold and proves that customers value relationships built on value.

Q What are the most differentiating factors in the way you do business with customers as compared to any other company?

I don't know the differentiating factors that were tracked in that survey, but I can tell you the things that we do. By being the catalyst in the open source community, I think customers who have engaged with us over a longer

"We want to be a catalyst for communities of developers, customers and partners worldwide to help build software that is fundamentally being developed and conceived very differently from what you have seen before. So, in that sense, we play a very interesting role now."

period of time have understood the value that we bring to the table -- from bringing the whole development process into the enterprise world and the way we translate their requirements back and forth between the community model and the enterprise development model. So finally, they consume technology at a value and cost that they are comfortable paying. Yet another factor is our subscription model. After Microsoft, we deliver the widest range of hardware and software application certifications. Therefore, customers (who deploy a certain application on a combination of certain hardware, networks or storage devices) know that if something is certified for Red Hat, there is a good chance that things work completely out of the box. We have been working towards this over the years and I know for a fact how much goes into making sure that every server is certified. The pervasiveness of technology gives customers the confidence that they can rely on us. The third part is the customer experience. We have got a number of awards for good customer support. We deliver 24x7 technical support to our customers and we provide consulting services as well.

Expansion plans...

Q Red Hat recently expanded in India with its Bengaluru and Pune facilities, and now the company has said that it wants to spread its wings in China. After North America, India was the second largest expansion for Red Hat. How do you view the Chinese market and what prospects do you see there?

I think different markets around the world have different dynamics. Let me give you some statistics. The number of servers shipped in India was about 150,000 in 2012. The number of servers expected to ship in China is 1.3 million. And if you look at the Gartner and IDC predictions in terms of the server market share, the Windows' server share will range between 60-75 per cent while Linux would be 35-40 per cent. So we want a share in the Chinese market as well, because it is a major market. We have been investing outside North America significantly from the past 10 years and this expansion is a part of the same drive.